WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

PAPUA NEW GUINEA

Asia

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Port Moresby / Caution Bay (National Capital District and Central Province)	Capital and main commercial centre; home to the PNG LNG plant at Caution Bay and all five licensed Special Economic Zones	Financial services, real estate, hospitality, LNG services, fabrication
Gulf Province (Elk and Antelope fields)	Resource base for Papua LNG, a $14 billion, 5.6 million tonnes-a-year project now nearing a final investment decision, with a pipeline of around 320 km to Caution Bay	LNG, upstream gas, construction and oilfield services
Hela and Southern Highlands	Upstream source of the ExxonMobil-operated PNG LNG project, which had exported 5.5 million tonnes in 2026 by September while running at 99.8% capacity utilisation	Gas production, logistics, community and support services
Lae and Morobe Province	Second city and principal industrial and port hub; Morobe hosts the Wafi-Golpu copper-gold deposit, where the State and joint venture partners are pursuing mediation on a special mining lease	Manufacturing, port logistics, agro-processing, copper and gold
Enga Province (Porgera)	Site of the Porgera gold mine, restarted from December 2023 under New Porgera, 51% owned by PNG stakeholders and operated by Barrick Niugini	Gold mining, mining services, provincial infrastructure
East New Britain (Rabaul)	Island gateway receiving EU Global Gateway support for an €83 million upgrade of Rabaul port	Port logistics, cocoa and agriculture, tourism
Special Economic Zones pipeline (nationwide)	Five licensed zones and some 21–22 proposed sites, which the government sees as its main vehicle for economic transformation, have attracted around K10 billion of investment	Downstream processing, manufacturing, tourism, property

INVESTOR ENTRY ROUTES

- Investment Promotion Authority (IPA) certification under the Investment Promotion Act 1992, required for foreign enterprises before starting business and issued within 35 days of a complete application; small-scale activities on the Cottage and Business Activities List are reserved for nationals

- Investment Promotion Act guarantees against expropriation without compensation, for repatriation of capital and earnings (subject to tax and exchange control laws) and for non-discrimination, supplemented by bilateral agreements with Australia, Germany and the United States
- Special Economic Zones under the Special Economic Zones Authority Act 2019, offering corporate tax holidays of up to 15 years, duty-free capital goods and lower dividend withholding tax on equal terms for local and foreign investors
- Bank of Papua New Guinea foreign-exchange regime: a crawl-like exchange-rate arrangement is narrowing kina overvaluation and supporting a gradual return to convertibility, with FX order backlogs significantly reduced
- Petroleum and mining entry through gas agreements and special mining leases negotiated with the State, which typically exercises equity back-in rights through Kumul Petroleum Holdings or comparable state vehicles
- Energy and infrastructure participation supported by a new off-grid regulation for mini-grids and by EU Global Gateway co-financing for hydropower and port projects

MARKET-ENTRY OBSERVATION

Papua New Guinea in October 2026 is completing a successful period of macroeconomic reform with a strengthening fiscal position and a large resource investment pipeline. The IMF estimates growth of 5.6% in 2025 and projects 3.8% in 2026 as LNG output levels off at full capacity, while the Bank of Papua New Guinea projects 3.5% for 2026 and held the Kina Facility Rate at 5.0% in September, with headline inflation of 5.3% in the June quarter. The fiscal deficit narrowed to 2.4% of GDP in 2025 and is projected at 1.1% in 2026, with a primary surplus for the first time since 2011, public debt expected to fall from 48.4% to 45.5% of GDP and a balanced budget targeted for 2027. The IMF programme of around $1.06 billion has met all its end-2025 performance criteria, gross reserves stood at about $4 billion (around five months of imports) at end-2025, and Papua LNG, a $14 billion project now operated by ExxonMobil, is targeting a final investment decision on 15 December 2026.

The economy's main structural challenge has been access to foreign exchange, long reflected in an overvalued kina and delays for firms remitting profits. Steady progress is being made: the crawl-like adjustment of the kina has narrowed its overvaluation, FX order backlogs have been significantly reduced, and the central bank is aligning its policy rate with the exchange-rate regime and strengthening the interbank market as it works towards full convertibility. High commodity prices are supporting inflows, with gold exports to Australia up 28% to K11.5 billion in the year to July 2026 and LNG plants running at 99.8% of capacity. With the IMF programme concluding at the end of 2026, the durability of these gains is a key point to monitor, but a new LNG train, a reopened Porgera mine and a growing SEZ network give Papua New Guinea a broader base of export earnings to support a more liquid currency market.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Foreign-exchange availability and profit repatriation	FX backlogs have been significantly reduced, though some international firms still experience delays in remitting profits	Plan repatriation timetables with banks and the Bank of Papua New Guinea; continuing kina adjustment and new LNG revenues should further deepen FX supply
Negotiation of large resource-project terms	Major projects require extensive negotiation with the State and landowners; Wafi-Golpu has awaited its special mining lease for many years and is now in mediation	Engage early with State negotiating teams and landowner groups; recent agreements on Papua LNG and Porgera show that durable partnership models are being concluded
FATF increased monitoring	Papua New Guinea was placed under FATF increased monitoring in February 2026 and has committed to an action plan to strengthen its AML/CFT regime	Apply enhanced due diligence and allow for additional correspondent-banking checks; completion of the action plan will improve financial-sector integration
Customary land tenure	Much of the country's land is held under customary ownership, which can lengthen site acquisition for new projects	Use SEZ sites, where customary land is being converted into state leases for landowners, and build landowner benefit-sharing into project design
Infrastructure and utilities	Power, water, road and port access remain	Partner with EU Global Gateway, Australian

Issue	Potential Impact	Possible Mitigation
	prerequisites at many proposed SEZ and project sites	and multilateral programmes; infrastructure gaps are themselves a significant investment opportunity
Governance and anti-corruption reform	Fiscal and central-bank reforms have advanced well, while the new Independent Commission Against Corruption has faced early management challenges	Apply robust compliance and transparent procurement; partner with established local firms and international lenders with strong governance standards
Political cycle and climate events	A general election is due in 2027, and a strong El Niño has been identified as a near-term risk to agriculture and infrastructure	Time approvals and financial close ahead of the election period; climate-resilient design is increasingly supported by public investment planning

INVESTOR RISK NOTE

Papua New Guinea's risk profile is improving on the back of three years of IMF-supported reform that have narrowed the fiscal deficit, put public debt on a declining path and eased the foreign-exchange shortages that long concerned investors. The country's resource endowment is world-class, and the near-term pipeline, led by the $14 billion Papua LNG project and supported by a reopened Porgera mine under a 51% PNG-owned structure, gives tangible evidence that large-scale partnerships can be concluded. Investors should plan for the practical realities of profit repatriation, customary land and lengthy project negotiations, and should apply enhanced due diligence following the country's placement under FATF increased monitoring in February 2026. The 2027 general election and the end of the IMF programme in 2026 are milestones worth monitoring, but the government's commitment to a balanced budget, the deepening security and economic partnership with Australia under the Pukpuk Treaty, which entered into force in July 2026, and continuing multilateral engagement provide a stable anchor.

MARKET ACCESS

Papua New Guinea has applied the Economic Partnership Agreement with the EU since 2009, giving it duty-free, quota-free access to the EU market with flexible rules of origin, and it is a member of the WTO and APEC. China and Australia are its most important trading partners, alongside Japan, with LNG accounting for around a third of exports and gold, copper and palm oil also significant. The country is the largest economy in the Pacific Islands, and its location around 150 km north of Australia places it at the junction of Australian, Asian and Pacific supply chains. Growing investment in ports, including the EU-backed Rabaul upgrade, and the Caution Bay LNG export hub supports the country's role as an export platform for energy, minerals and agricultural products.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (James Marape)	Sets national economic priorities, including large-scale investment, downstream processing and resource-project negotiations	Primary reference point for strategic direction on major projects
Investment Promotion Authority (IPA)	Certifies foreign enterprises and administers the Investment Promotion Act	Standard first point of contact for market entry and registration
Bank of Papua New Guinea	Sets the Kina Facility Rate and manages the crawl-like exchange-rate arrangement and FX allocation	Essential counterpart on currency convertibility and profit repatriation
Department of Treasury (Treasurer Ian Ling-Stuckey)	Leads fiscal consolidation, budget policy and the path to a 2027 budget surplus	Relevant for fiscal incentives, state-owned enterprise policy and public investment
Ministry of International Trade and Investment (Minister Richard Maru)	Drives trade and investment policy and promotes the Special Economic Zones programme	Key policy partner for manufacturing, processing and export-led projects
Special Economic Zones Authority (SEZA)	Licenses and regulates SEZs and administers their tax and customs	Direct channel for securing zone sites and incentive packages

Actor	Why It Matters	Waverley Engagement Angle
	incentives	
Kumul Petroleum Holdings	National oil and gas company holding the State's interests in PNG LNG and, with MRDC, 22.5% of Papua LNG	Essential partner for upstream, LNG and petroleum-services investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The annual Papua New Guinea Investment Conference, organised by Business Advantage International and held in Brisbane in August 2026, where Prime Minister Marape welcomed genuine investors, is the leading international platform for the market, alongside the PNG Chamber of Commerce and Industry and the Australia-PNG Business Council for business networking. Major resource operators, including ExxonMobil, Santos, TotalEnergies and Barrick, maintain a substantial in-country presence and are valuable sources of practical intelligence. The IMF, World Bank, Asian Development Bank and IFC maintain active programmes on economic reform, infrastructure and the business environment, while the EU's Global Gateway and Australia's development and labour-mobility programmes provide co-financing and partnership routes for infrastructure, energy and skills investment.

INVESTOR PROFILE BEST SUITED

Papua New Guinea is best suited to investors with a long-term horizon and experience in resource-rich emerging markets: energy and engineering firms positioned for Papua LNG construction and related services; mining companies and contractors seeking world-class gold and copper resources under partnership models with the State and landowners; infrastructure, power and port investors working alongside development finance institutions; and agribusiness, fisheries and processing investors able to use SEZ incentives and duty-free EU access. Tourism and property developers are also active in Port Moresby's licensed zones. Investors should be prepared to invest in local partnerships, community relations and careful treasury planning.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Secure IPA certification and confirm sector eligibility
Register with the Investment Promotion Authority and check that the planned activity falls outside the Cottage and Business Activities List reserved for nationals.

STEP 2: Evaluate Special Economic Zone incentives
Engage the Special Economic Zones Authority on licensed and proposed sites to secure tax holidays, duty-free capital goods and clearer land tenure.

STEP 3: Build a repatriation and treasury plan
Agree FX and dividend-remittance arrangements with local banks early, and track the Bank of Papua New Guinea's progress towards kina convertibility.

STEP 4: Position for the Papua LNG investment cycle
Engage ExxonMobil, the joint venture partners and Kumul Petroleum ahead of the targeted December 2026 final investment decision to identify supply-chain and services opportunities.

STEP 5: Invest early in landowner and community partnerships
Map customary landowners and provincial stakeholders from the outset and design benefit-sharing arrangements that support durable project approvals.